

Bachelor in Computer Applications

Course Title: **Economics**

Code No: Semester: **2**

Full Marks: **60** Pass Marks: **24** Time: **3 hours**

Candidates are required to answer the questions in their own words as far as practicable.

Note: Group A (Multiple Choice Questions) is not available from the source. The paper begins with Group B.

Group B

1. Define elasticity of supply. What are the various types of elasticity of supply? Explain with diagrams.
2. Define production function. Discuss the various features of the Cobb-Douglas production function.
3. What is a perfect competition market? How the price and output are determined under it in the short run?
4. What are the features of a mixed economy?
5. Explain the concept of scarcity and choice in the decision-making process.
6. Consider the following demand schedule:

Combination	Income (Rs)	Demand (Units)
A	200	160
B	160	120
C	80	40

i) Compute the income elasticity of demand at movement from B to C and C to B by the proportional method.ii) Compute the income elasticity of demand midway between B and C and C and B.
7. Define price consumption curve (PCC). Derive the price consumption curve for Giffen goods with the help of indifference curve approach.
8. Consider the following cost schedule:

Output	TVC	TC
0	50	120
1	90	140
2	140	175
3	203	310

a) At TFC=120, compute TC, AFC, AVC, and ATC.b) Draw the graph of AFC, AVC, and ATC.
9. Explain the various properties of the indifference curve.
10. Show the relationship between AR and MR under the monopoly market with the help of a table and figure.
11. Differentiate between expansionary fiscal policy and contractionary fiscal policy.
12. From the following data, calculate the national income:

Particulars	Rs. in million
Gross fixed capital formation	300
Private final consumption expenditure	900
Net Export	-50
Subsidies	50
Government final consumption expenditure	150
Indirect taxes	250
Change in stock	50
Consumption of fixed capital	50
Net factor income from abroad	50